

Rates Spark: Bonds losing their edge as a hedge

Markets still see Middle East risks as contained: front-end volatility and oil sensitivity persist, but long-end inflation looks anchored. But bonds don't look like a good portfolio hedge at the moment, adding to the term premium. Meanwhile we'll be [listening to Warsh](#) for more concrete views on how to shrink the Fed bond portfolio



Bonds appear to be losing their edge versus equities as a portfolio hedge

Bonds are losing their edge against equities as a portfolio hedge

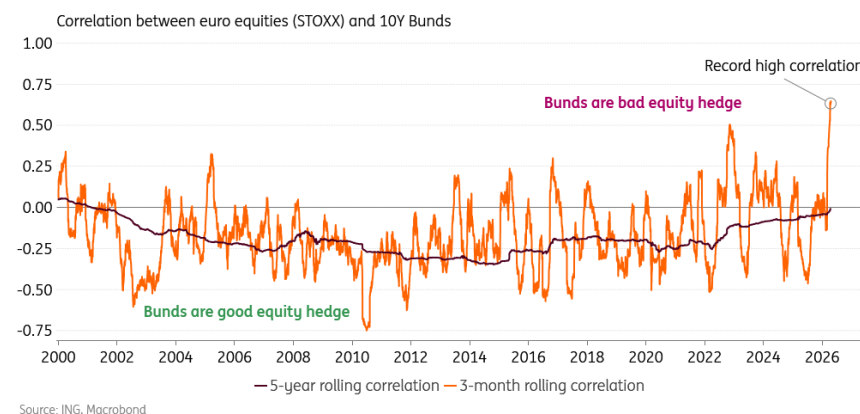
Despite a bumpy opening of markets this week, investors are still positioned for a near-term resolution of the Middle East conflict, and overnight headlines seem to offer new hope again. We'll likely see more volatility around the front end of the curve and oil moves around, but the long end still does not show signs of inflation expectations being unanchored. Also, if we look at the spread between 10Y Bunds and swaps, we don't see signs of significant risk-off sentiment.

Although one could argue that Bunds are not as obvious a hedge from a renewed escalation, given this would likely be paired with higher inflation. Besides, as long as growth concerns are contained, equities may offer a more attractive proposition. And this seems to be the view of broader markets, with the S&P 500 holding strong at less than 1% from its peak. Iran and the US have already proven a willingness to open the Strait of Hormuz and, therefore, investors can turn their focus to the more optimistic stories such as AI and still strong underlying macro data.

The unattractive value of bonds as an equity hedge can also be seen when looking at the record-high correlations between the STOXX index and Bunds. The high correlations seem to have a structural element too, with the five-year correlation now close to zero. Inflation concerns will linger, even if oil prices find their way lower, and also the impact of AI on near-term inflation remains up for debate. As such, bonds may remain unattractive from a portfolio perspective, which can keep longer-dated rates elevated even if oil were to ease lower.

Meanwhile, in the UK, markets are finding a distraction from the Middle East in domestic politics, adding to the volatility in the long end. The upward pressure on gilt yields on Monday was triggered by renewed challenges to Prime Minister Starmer's leadership. In a world where bonds are already under threat from inflation, the addition of political risk does not bode well. And markets have already singled out the UK as being more sensitive to inflation compared to the US and eurozone. For every \$10 rise in Brent oil, markets are adding almost 30bp of Bank of England tightening over the next 12 months.

Bonds are less attractive as correlation with equities reaches new highs



Tuesday's events and market views

A key event to watch will be [Warsh's confirmation hearing](#), where he will be questioned about his approach to monetary policy. Whilst getting more clarity about his dovish or hawkish tilts will be unlikely, we will be closely listening for any hints about Warsh's intentions with the Fed balance sheet. We know he wants to reduce the bond portfolio, but we still lack the details on how that would be done. Given the big implications this could have on global term premiums, even subtle signs could be market-moving.

We will get the ZEW survey outcomes for April, whereby consensus expects a material deterioration in both Germany's expectations and current situation measures. From the US, the highlight will be retail sales for March, which should capture the first impact of higher energy costs.

For issuance, we have the UK with a £5bn 3Y gilt auction and Germany will auction 2Y Schatz for €6bn. From Finland, we have 3Y and 19Y RFGBs totalling €1.5bn.

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FX Daily: Dollar to weigh up Warsh

Risk assets are mildly bid on the view that the Iranians will send a delegation to peace talks in Pakistan today. Away from geopolitics, today's highlight will be Kevin Warsh's confirmation hearing in the Senate. Some of the discussion could get a little technical on the topic of balance sheet reduction, but the dollar probably faces some downside risks



The dollar probably faces some downside risks from Kevin Warsh's confirmation hearing today

📉 USD: Warsh to steepen the yield curve

Investors continue to take a bullish view of events. Although not confirmed, Iranian negotiators are expected to travel to Pakistan to engage in peace talks with the US later today or early tomorrow. As is his way, President Trump continues to threaten a binary outcome – deal or destruction – after tomorrow's ceasefire expires. For the time being, the market seems happy to sit pro-risk on the view that the ceasefire will at least be extended. Also buoying equities has been the shift back to the tech story. Positive news came out of Asia overnight with EQT AB raising \$16bn, the largest pool ever, for a private equity Asia fund, and semiconductor exports from Korea maintaining heady export growth rates at 50% YoY.

Amid this pro-risk, soft dollar backdrop, Kevin Warsh appears in front of the Senate at 1600CET today. My colleagues James Knightley and Padhraic Garvey preview that hearing [here](#). The

consensus view in markets is that Warsh will be dovish on the policy rate and hawkish on the Fed's balance sheet. The balance sheet discussion could get a bit technical in the form of the choice of reduction (roll-offs or active sales), which securities (Treasuries or Mortgage Backed Securities) and whether the resulting decline in surplus liquidity could trigger another 2019-like crisis in the repo market. Investors expect a steeper curve from all this.

Barring comments on the Fed's balance sheet that unnerve the long-end of the Treasury and risk assets, Warsh's comments on the policy rate will probably be a bigger driver of the dollar. With oil prices and short-term inflation expectations high at the moment, comments which see short-dated swap rates and real rates come lower will be dollar negative. We doubt moves will be large, however, because unless the Department of Justice drops its investigation into the Fed's reconstruction project, Republican Senator Thom Tillis will still prevent the Warsh nomination from proceeding to a full vote in the Senate.

Away from politics, the US data calendar sees the release of the March retail sales numbers and the ADP weekly employment release. If the Fed's [Beige Book](#) is to be believed, neither retail sales nor employment fell off a cliff in March – but any surprise weakness would add to the dollar's downside.

DXY could drift towards the 97.50/60 area on today's agenda.

Chris Turner

EUR: Foreigners like eurozone assets

Last week's Balance of Payments figures released by the ECB showed continued strong foreign buying of eurozone asset markets in February. Combining both purchases of equities and debt, foreigners had already bought EUR280bn of eurozone assets in the first two months of this year. So while US TIC data does not show any outright sales of US long-term assets, the strong demand for eurozone assets suggests that, at the margin, the euro could be benefiting from new funds being put to work.

On the calendar today is the German ZEW investor survey and a variety of ECB speakers this morning. ECB President Christine Lagarde has made the ECB's position pretty clear. However, more data is required. The market now sees very little chance of an ECB hike later this month but a 68% chance of a hike in June. We expect the ECB to deliver a June hike to impress its inflation-fighting credibility on markets.

EUR/USD is trading in a tight 1.1750-1.1800 range, but could move to 1.1850 if Kevin Warsh says something dovish.

Chris Turner

GBP: Shaking off local politics so far

Despite UK Gilts underperforming yesterday – presumably on the view that there may be a change in the Labour leadership – sterling has held up reasonably well. Today's big drop in the February unemployment rate probably overstates the health of the UK labour market – inactivity rose, so sterling does not need to trade a lot stronger on this.

Today's focus will be on the morning testimony from the top civil servant who was sacked over

failing to disclose the results of the Mandelson vetting process. However, the Polymarket betting site only gives a 39% probability of PM Starmer leaving office by June (65% by December) and is perhaps one reason why sterling is not selling off more.

Expect EUR/GBP to find ongoing support in the 0.8685/8700 area.

Chris Turner

ILS: The shekel is incredibly strong

The Israeli shekel has been one of the strongest performing currencies since the start of the crisis – appreciating 5% against the dollar. What is driving that strength remains unclear, although Israeli tech capital raising has often been blamed for that strength in the past. Historically, the Bank of Israel has been one of the most interventionist central banks out there and had intervened heavily to prevent a much stronger shekel. Yet the White House's focus on currency manipulation may have discouraged the BoI's FX intervention activity this year.

However, the shekel is now incredibly strong. The trade-weighted, inflation-adjusted shekel is at an all-time high. If the BoI cannot intervene in FX, then rate cuts can take the pressure off the shekel. That is why the market now prices 100bp of BoI easing over the next six months. But bottom line, we doubt the BoI will tolerate sustained shekel gains from here, and we forecast USD/ILS to head back to the [3.00-3.20 area later this year](#).

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The Commodities Feed: Peace talk optimism clouds reality

Oil price action in early morning trading today reflects hopes of progress in scheduled peace talks between the US and Iran, Too much hope, perhaps



Energy- Oil trading on hopes rather than reality

While energy markets popped higher yesterday following Iran's decision to reverse its opening of the Strait of Hormuz, they're still trading in a manner which suggests optimism over US-Iran talks. The aim, of course, is to establish a viable off-ramp that enables energy flows through the Strait of Hormuz to resume on a sustained, long-term basis. But we believe markets are underpricing the ongoing supply disruption. Optimism appears to be clouding the reality of the supply shock.

Negotiations between the US and Iran are set to resume in Pakistan, with US Vice President JD Vance set to attend. It appears Iran will send a delegation too. This follows earlier suggestions that Iran wouldn't attend as long as the US blockade continues. These talks are important, with the current ceasefire set to end on Wednesday. President Trump has suggested he is unlikely to extend the ceasefire. Therefore, a lack of progress would likely push oil and gas prices higher. This would create significant uncertainty over when energy flows through the Strait of Hormuz might return to normal.

The longer these supply disruptions persist, the tighter the oil market becomes, leaving a longer path towards normalisation for markets once hostilities end. Energy flows will take time to recover. Upstream production will also take time. We also need to see restocking globally following

significant stock drawdowns. Taking these factors into account—along with the likelihood that any US–Iran agreement would remain fragile—it appears that while oil prices would face downside pressure, the market's floor for the rest of the year is considerably higher than it was before the war.

The European gas market is also becoming more optimistic about the prospect of a peace deal. TTF is currently trading below EUR40/MWh. These are basically the levels we saw in late January amid the deep freeze across the US, when there was plenty of concern over US LNG export supply. The current disruption in Persian Gulf LNG supplies is clearly more impactful for the market, yet prices don't appear to fully reflect this.

For the European gas market, LNG send-outs remain seasonally strong, while gas storage has broken back above 30% full. This will offer some comfort to the market. Moreover, global gas demand is set to weaken, with the power sector switching from gas to coal, easing some of the upward pressure on prices. In terms of LNG supply, the market is tight. Golden Pass LNG in the US is set to imminently load its first LNG cargo from train 1, but with this train having an annual capacity of around 6 mtpa, it is far short of the 77 mtpa of Qatari LNG capacity currently disrupted.

Metals – Gold softer on renewed inflation concerns

Gold started the week on a weaker footing as higher oil and gas prices reignited inflation concerns. Ongoing disruptions risk around the Strait of Hormuz are keeping energy markets supported, reinforcing inflation expectations and acting as a near-term headwind for gold.

We see this capping upside in the short term, though downside risks appear limited. Elevated geopolitical tensions and continued uncertainty around Hormuz should underpin haven demand.

Attention now shifts to Tuesday's US Senate confirmation hearing for Kevin Warsh, nominee to chair the Federal Reserve. Any hawkish signals could add further pressure on gold. While gold prices have recovered some conflict-driven losses, gold still trades around 8% below pre-conflict levels following earlier liquidity-driven selling.

Near-term price action is likely to remain volatile amid shifting expectations around central bank policy, real yields and persistent geopolitical uncertainty.

In other precious metals, China's silver imports surged to a record high in March, boosted by demand from retail investors and the solar sector. Imports rose to around 836 tonnes, according to Chinese customs data, well above the 10 year March average of roughly 306 tonnes. Earlier in the year, strong domestic demand pushed Chinese silver prices to a premium over international markets, triggering arbitrage flows. Silver prices have since then pulled back from their January record highs, while retail momentum has softened.

In base metals, copper edged lower after recent gains, but continues to trade near two-month highs, while macro headwinds are slowing down momentum. Higher energy prices and sticky inflation risk keeping monetary policy tighter for longer, weighing on the industrial metals demand outlook.

Aluminium prices remain supported by ongoing supply disruptions in the Middle East. Production in Gulf countries dropped 6% to 15,963 tonnes a day in March, according to data from the

International Aluminium Institute.

Agriculture– India allows further wheat exports

India has approved an additional 2.5mt of wheat exports, according to the Ministry of Consumer Affairs and Food. The aim is to support farm incomes, manage domestic inventories, and limit distress sales during the peak marketing season. This raises total permitted wheat exports to 5mt in the current year. Meanwhile, wheat acreage is expected to increase by 2% year-on-year to 33.42m hectares, despite fertiliser supply constraints. Wheat production for 2026 is projected at 120.2mt.

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Kevin Warsh's Fed confirmation faces tough tests

Kevin Warsh's confirmation hearing to be the next Fed Chair will see him having to tread a fine line between making the case for lower borrowing costs, which helped him get the nomination from the President, and preserving the Fed's inflation-fighting credentials. Politics and the DoJ case against the Fed mean a swift confirmation is unlikely



At his confirmation hearings, Kevin Warsh will have to balance calls for lower borrowing costs and the inflation-fighting credentials of the Federal Reserve

Kevin Warsh's challenge - the President & market credibility

The Federal Reserve has entered its quiet period ahead of the 29 April FOMC meeting, but it will still be drawing headlines given Kevin Warsh's confirmation hearing to become Federal Reserve Chair is being held tomorrow. Once viewed as a hawk when he previously served as a Fed Governor (February 2006-March 2011), he has been nominated by President Trump, who has demanded much lower interest rates from current incumbent, Jerome Powell.

Warsh will inevitably be questioned on how closely aligned he is with the President's thinking. We imagine he will indicate a belief that, over time, lower interest rates make sense. However, preserving market credibility is of paramount importance and there must be justification.

The Iran conflict-induced jump in motor fuel costs creates near-term challenges in an environment where both core and headline consumer price inflation have exceeded the 2% target throughout the past five years. He will be wary of coming across as too dovish. That could heighten market fears of potential unanchored market inflation expectations, prompting higher long-term borrowing costs.

Treasury Secretary Scott Bessent has emphasised that, in his view, the most important metric is the 10Y Treasury yield given its benchmark role and the impact it has on mortgage rates and corporate borrowing costs. He appears to be onboard with a delay to rate cuts, based on recent media comments, but the President is probably not going to be so keen. Nonetheless, if there is a swift conclusion to the conflict and fuel prices drop sharply, Warsh will strongly suggest there is the possibility of his support for rate cuts later this year.

Structurally speaking, Kevin Warsh will emphasise the opportunity for lower borrowing costs over the medium to longer term. He clearly buys into the idea that tech/AI investment will boost productivity and allow the US to grow faster without generating inflation. To be fair, there appears to be support for this view within the broader Fed, given that within the March forecast update, officials revised higher their long-run GDP forecast to 2% from 1.8%, without altering the long-term inflation prediction. The minutes suggested that "several participants... expected higher productivity growth, associated with technological or deregulatory developments, to put downward pressure on inflation."

The Fed's balance sheet

In addition to the productivity narrative, Kevin Warsh has another theory. Every US\$1tn of Fed bond holdings equates to 50bp on the policy rate (approximately). In consequence, balance sheet contraction, through bond roll-offs or outright selling, facilitates rate cuts. This is convenient, as Warsh also believes that the Fed continues to own too many bonds. The build of bond buying was a consequence of past crises, and now that they are no more, much of the bonds should be off-loaded. He's not been specific about sizes, but said that they should be significantly reduced. And he's identified Mortgage-Backed Securities (MBS) as a particular eye-sore that should be liquidated. And finally, he's advocated mostly a passive run-off, cognisant of market de-stabilisation risks.

Consider two scenarios. One is a reduction in the balance sheet right back to pre-Global Financial Crisis levels (5.5% of GDP). That would require some US\$4.5tn in bond liquidations. That's unlikely, but we do develop that narrative [here](#). More probable is a targeted sale of the US\$2tn of MBS holdings. This is currently rolling off at a slow trickle, as it's primarily long in duration. But it could be subject to outright sales. It could be softened by extra T-bills buying, to prevent repo market disruption.

The issue here, however, is the impact on bank reserves. Bank reserves sit on the Fed's balance sheet, and are remunerated by the rate the Fed pays on reserves. They are there as an echo of the prior bond buying undertaken by the Fed (effectively the other side of the Fed's balance sheet). In 2019 and again through the second half of 2025, we saw repo market tightness occur as bank reserves fell to critical levels. For no particular reason, circa 10% of GDP is a level below which tightness has tended to kick in.

Kevin Warsh has suggested identification of a target for bank reserves, and keeping to that. He's not been specific as to what that level should be. The unwritten level today is US\$3tn. That's sitting alongside Fed bond holdings of US\$6.3tn. Simplistically, if the Fed's balance sheet was shrunk by

US\$2tn, bank reserves could be pressured down to around US\$2-2.5tn. In today's setup, that would cause repo issues.

The simple solution would be to offset MBS sales with T-bills buying. Not technically QE (as bills buying is short in maturity and, in a sense, akin to open market operations), but would still leave the balance sheet bloated with government securities. Warsh needs a plan to deal with this. We'll be listening for more as he testifies, albeit perhaps a bit deep in the weeds for a Senate hearing. It is *really* important though. Apart from repo issues, MBS selling with a view to cutting rates, points to a steeper curve from both ends.

Chair Powell could continue beyond 15 May

Whether Kevin Warsh will be approved quickly is another matter given the Department of Justice's probe into Fed construction work overspending. The Senate Banking Committee consists of 13 Republicans and 11 Democrats, but Republican Thom Tillis has vowed to block the confirmation until the "vindictive prosecution" of Chair Powell is ended. Until Thom Tillis is satisfied, it will be a 12-12 vote, and it can't proceed to a formal Senate vote.

Jerome Powell's term as Fed Chair notionally ends on 15 May, but until Warsh is approved, Powell will stay in the role with his term as Governor scheduled to continue until 31 January 2028. As such, tensions between the Fed and the President are likely to remain elevated, but with strong rules of governance, we think the Fed's independence is not in doubt.

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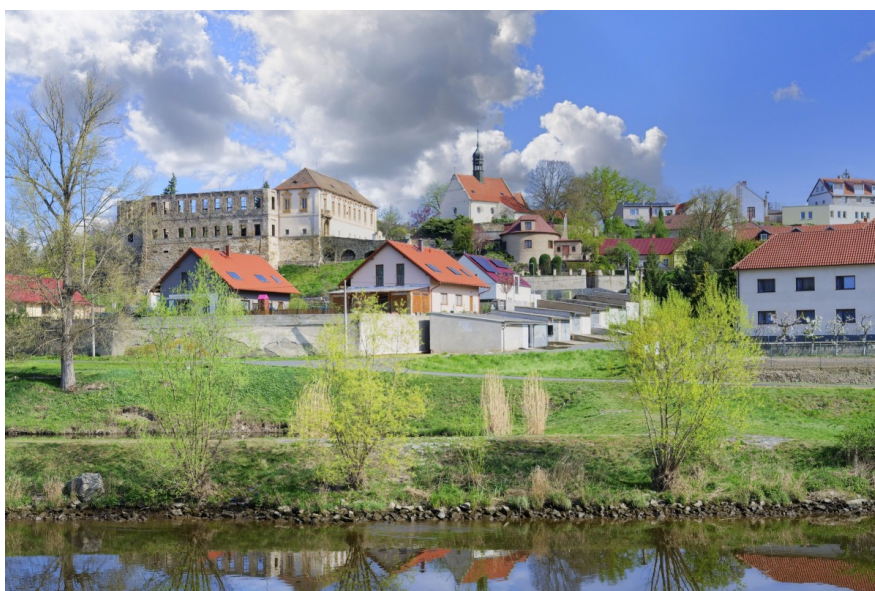
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Czech housing prices and strong demand pose risks

Czech industrial pricing has remained subdued despite the clear repercussions from global energy prices. A pronounced decline in agricultural manufacturing will help to hold inflation within reasonable boundaries. Our scenarios show that property prices pose a risk to rents and core inflation



Demand for property in Czechia is exceeding available supply

Industry and agri prices fall; services and construction rise

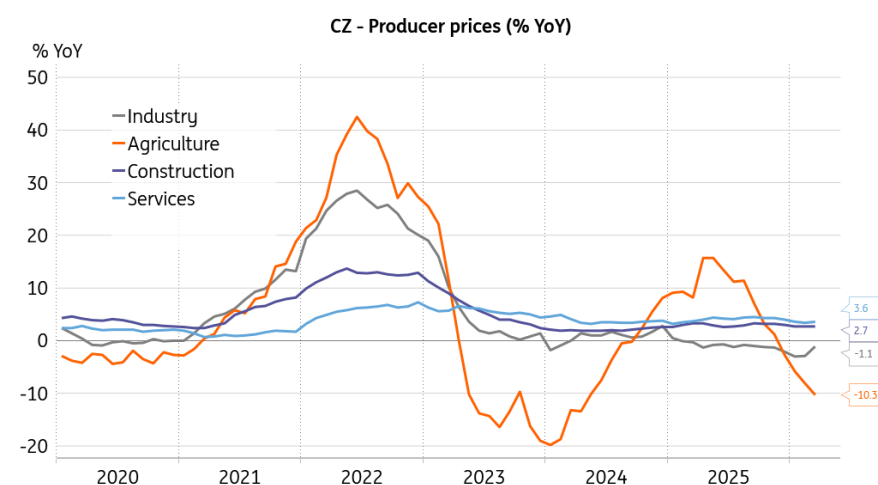
Czech industrial producer prices remained in annual decline, down 1.1% in March but up 1.5% from the previous month on the back of the global energy shock.

The annual fall in agricultural producer prices became more severe in March at 10.3%. The annual fall in agricultural producer prices deepened to 10.3% in March. On a month on month basis, prices fell for a fifth consecutive month despite elevated energy prices and a weaker koruna, though the pace of decline moderated to 0.2%.

Prices of construction works added 2.7% YoY and 0.7% from the previous month. We expect further acceleration in this price segment due to the continued building boom and emerging shortages of building materials linked to the Middle East disruption. Prices of market services rose

by 3.6% YoY and 1.1% MoM.

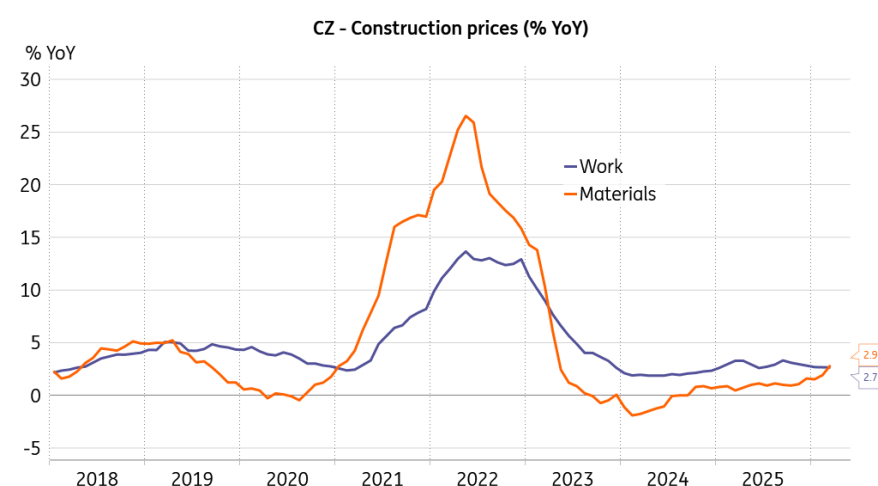
Prices in construction will likely accelerate



Source: CZSO, Macrobond

In annual terms, we saw declines in prices of electricity, gas, and steam, while prices of food products and motor vehicles also fell. Prices of coke and refined petroleum products increased significantly, closely tracking higher oil prices. Looking at the main industrial groups, energy prices dropped by 2.6% YoY, non-durable consumer goods prices shed 1.4% YoY, and intermediate goods fell 0.2% YoY. Meanwhile, prices of durable consumer goods gained 1.5% YoY, yet their annual dynamic shows a softening trend since October last year. Industrial producer prices, excluding energy, dropped by 0.5% YoY from March last year.

Shortage of materials will push up prices



Source: CZSO, Macrobond

House prices are a big unknown

Rising construction prices reflect strong demand for property that is decisively exceeding available supply. Looking at flat offer prices in the first quarter of 2026, double digit annual growth was

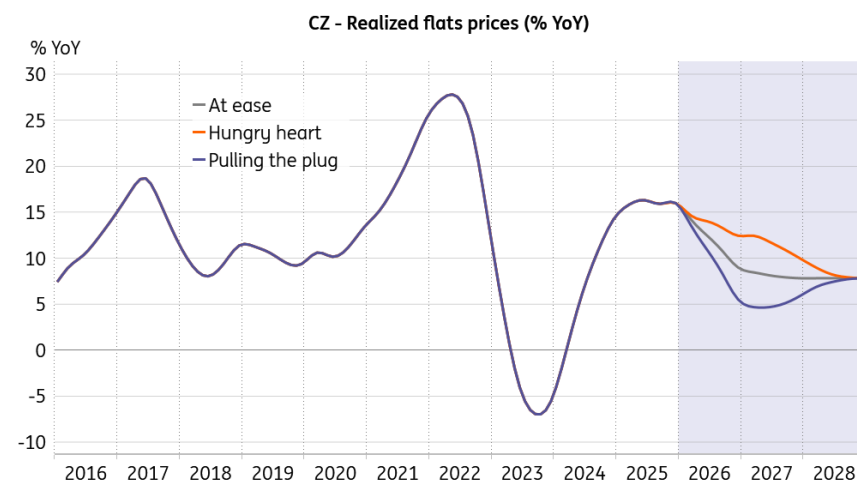
maintained across the country, while price growth in Prague eased to 8.9%. This is consistent with our hypothesis that Prague has become somewhat stretched for the time being, while there remains ample scope for property prices to continue their strong upward trajectory outside the *caput regni*.

For realised prices, data is only available up to 4Q25, and the next release is scheduled for mid-June. Nevertheless, as reliable data is available only at a quarterly frequency and with a considerable lag, we proceed with scenario analysis for realised flat prices, which have a sizeable impact on core inflation.

In any case, housing prices are likely to continue growing at a strong pace, supported by several factors: (i) robust demand, underpinned by ample savings and continued access to mortgage financing; (ii) limited supply that is set to stay with us for several years; (iii) increasing wages in construction; and (iv) emerging shortages of building materials linked to disruption in the Middle East, which are already generating upward price pressures.

This will almost mechanically drive up the imputed rents and, to some extent, core inflation. Still, we would like to have a slightly more nuanced assessment of the whole thing, and because we don't have a precise idea about future housing market developments, we turn to scenario analysis. Indeed, we take to heart Niels Bohr's remark: Prediction is very difficult, especially if it's about the future.

House price trends will likely remain upbeat



Source: CZSO, ING, Macrobond

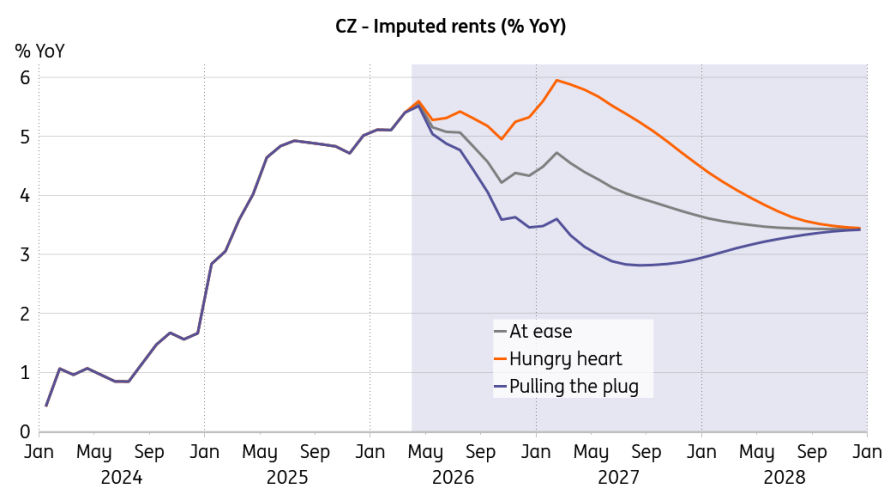
In our equation for imputed rents, we only alter the outlook for house prices and loans to households, all other explanatory variables enter the simulation in a *ceteris paribus* mode. Our central scenario, *At ease*, assumes a gradual slowdown in house price growth, along with a slightly delayed and gradual slowdown in credit dynamics. The *Hungry heart* scenario assumes that house prices continue to grow at a strong pace, remaining in double digit territory until the end of next year. In this case, signs begin to emerge of buyers using credit to acquire third investment properties, pushing market conditions closer to the danger zone, at least in Prague. Complacency is one of the market's traditional enemies, so we take seriously the *Pulling the plug* scenario, where large investors take a pause in acquiring further properties, and we see a tangible slowdown

in their price dynamics.

Imputed rents may drive core inflation

The scenarios result in different paths and peaks of imputed rents. Nevertheless, annual rent growth does not slow down to the average of just below 1% observed between 2010 and 2015. It rather mimics the 2016-19 upswing in rents when the economy was booming, at least in the *Hungry heart* scenario. Rent costs are much more merciful in our *Pulling the plug* scenario when the annual dynamics soften to below 3% by mid-2027.

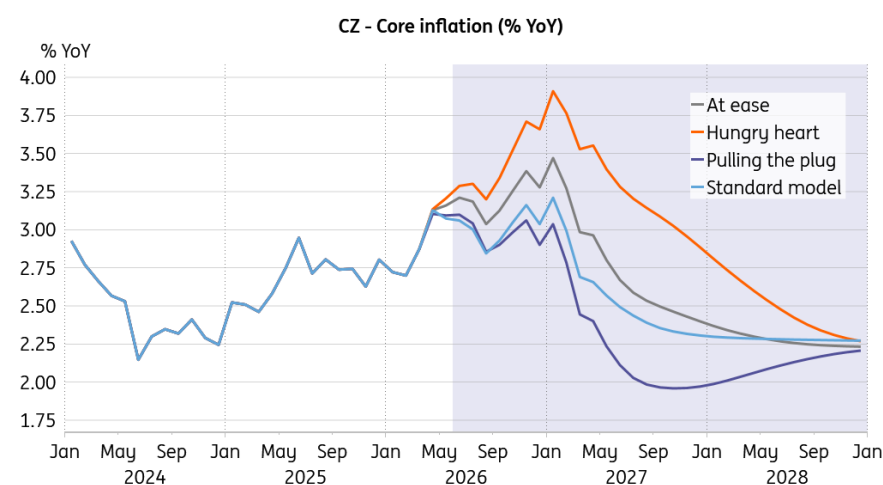
Rent increases resemble a booming economy



Source: CZSO, ING, Macrobond

The repercussions for core inflation are rather straightforward, as shown in the chart below. We use this equation specification only occasionally, as the assumptions on housing prices are hard to draw, given the delay in the data. It's crucial to stress that the *Standard model* is our base case path for core inflation.

Potential for punchier core inflation is in the air



Source: CNB, ING, Macrobond

That said, our standard core inflation path is somewhere in between the two milder scenarios. Readers may draw their own conclusions. Looking ahead, however, I see rising risks of more pronounced core inflation. Imputed rents, in particular, are becoming a fundamental factor that will stay with us for some time.

Hold the line and see how the economy is doing

Summa summarum, benign pricing in industry and agriculture contrasts with solid pricing in business services and accelerating prices of building materials. As for the implications for consumer inflation, food prices will help to keep the headline rate within the Czech National Bank's tolerance band for most of the year. Meanwhile, construction prices and the overheating housing market could exert pressure on imputed rents and core inflation throughout the year. Given the uncertainty about the double impact of the conflict in the Middle East, i.e., on prices and economic activity, which are also conditional on its duration, the CNB is still in a relative comfort zone, where it can wait for some time before taking any action. In the meantime, policymakers will carefully consider how to communicate the appropriate path forward, mindful of the power of forward guidance.

The measures taken by the government in a potential energy crisis will also enter the CNB's decision function. The government has just approved the Act on the Regulation of Fuel Prices. The cabinet wants to establish a rapid response mechanism for intervening in fuel prices in times of crisis in the future. The new law is intended to replace temporary measures introduced in early April and provide a framework for similar regulation in the future. Any price regulation will be limited to a maximum of 12 months and subject to continuous monitoring and evaluation.

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THINK Ahead: From 'loads of money' to no cash to splash

Harry Enfield's 'Loadsamoney' mocked 80s yuppie excess; his catchphrase rang out across the UK. Today, there's no cash to splash, and not just in Britain... high household savings ratios will struggle to spare Europe from an energy-led slowdown.

Plus, the confirmation hearing of Fed Chair nominee Kevin Warsh. All to look forward to next week



The cultural phenomenon, 'Loadsamoney', played by Harry Enfield in the 80s

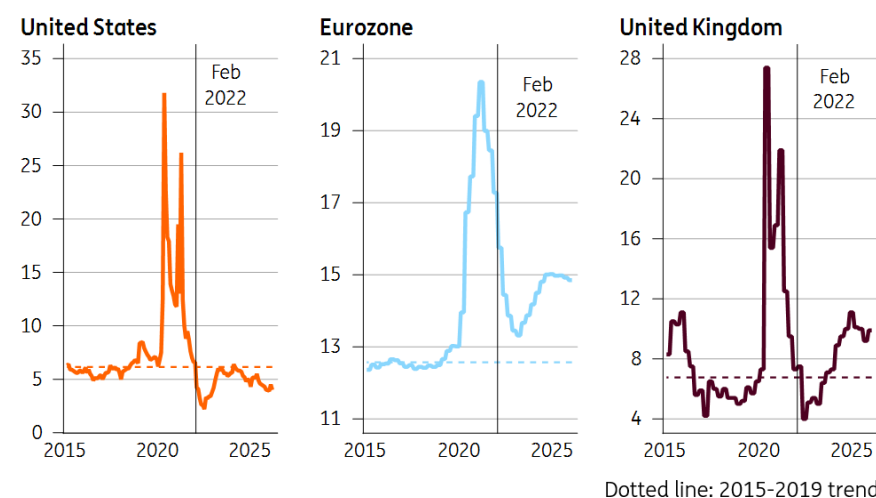
No cash to splash

Plenty of ink has been spilt on how this crisis differs from the 2022 energy shock. And mostly, not in a good way. Cooler job markets, less government stimulus, and tighter monetary policy all make the economy more vulnerable. And that means inflation is less likely to take hold in the long term.

But there's one area that looks more positive: European savings.

The savings ratio - the proportion of income not spent on goods and services - has been consistently above its pre-Covid average. Admittedly, not in the US. But in the eurozone, where this energy shock will be felt more acutely, it's comparable to levels in February 2022. And in the UK, it is considerably higher (or is it? More on that later...).

Household savings ratios are above-average in Europe



Source: Macrobond, ING

That matters because, at face value, it offers households a cushion against higher energy prices. Real incomes are set to fall as inflation heads to 4% and wage growth languishes at 2.5% in the eurozone and 3.5% in the UK. Even if you're an optimist and think wages will rise with prices (we don't!), this will take time. Continental Europe's system of collective bargaining means pay responds with a lag while new settlements are negotiated.

So, if disposable incomes are down, then that savings ratio is going to have to fall if a consumer-led recession is to be prevented. The fact that the savings ratio comes from a higher starting point should offer more scope for that to happen.

And we do indeed expect it to fall, at least temporarily. It's what we saw back in 2022 as households engage in what we economists call "consumption smoothing". Cut savings in the bad times, rebuild them in the good. That might help explain that savings ratio trend over the past few years.

However, I think there are a number of holes in this story:

For starters, are households really going to be willing to part with their cash at a time of such uncertainty, to the extent that saving is a choice? It feels unlikely. My colleague [Peter Vanden Houte](#) points to the March uptick in eurozone unemployment expectations as one reason for caution.

And is the savings ratio really a reliable measure in the first place? I've always been a bit sceptical because frankly, it isn't actually measured at all.

Put simply, it's the gap between a broad definition of income after taxes and household consumption. That sounds sensible enough, until you remember both of those numbers are calculated independently of one another, using different data sources and in complex methods. And because "savings" here is simply a residual between two very large numbers, it is subject to often huge revisions if one or both of those figures are updated.

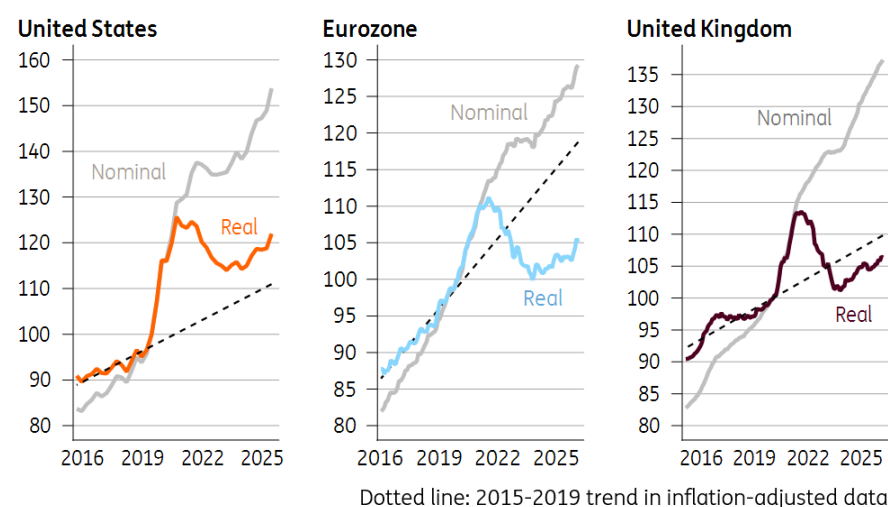
Case in point: when the data first came out, it showed Britain's savings ratio at 9% as of Q3 2022.

Data for that very same period has since been revised down to 5%. Pretty different, wouldn't you say?

The good news is we have a much better way of measuring all this. Central banks provide data on actual money in actual real-life bank accounts. The bad news? No big war chest of cash waiting to be splashed...

Adjusted for inflation, the stock of savings sat in European banks is below the pre-Covid trend on both sides of the channel. Likewise, if you look at deposits as a ratio of household disposable incomes. That's a stark contrast with early 2022, where economies were still lavishing in huge pools of "excess savings" – money squirrelled away when there was nothing to spend it on during the pandemic.

Nominal vs. real household deposits



Source: Macrobond, ING

Real data deflated by CPI (HICP for Eurozone). US series includes checkable deposits/currency, time and savings deposits and money market fund shares. Eurozone is household M3 deposit data. UK is household M4 deposits.

Then there's the impact of higher interest rates. The textbooks tell us that they should incentivise saving. Sure enough, eurozone data shows flows into deposit accounts with a fixed maturity nearly perfectly offset outflows from those paying overnight rates back in 2022.

But the textbook has also changed over the past two decades. Savers benefit quickly from higher deposit rates, while mortgage rates, typically fixed well into the future, take much longer to respond. That blunts the negative cash flow impact of tighter monetary policy, at least initially. And let's face it, the ECB rate hike [we're now forecasting](#) isn't going to move the needle much anyway.

Finally, we have to remember that the bulk of savings is held by the wealthiest and, therefore, least affected by the cost-of-living crunch. James Knightley points to [Fed data](#), indicating the top 20% of earners hold 70% of savings (or specifically "other assets", most of which are deposits). Our own [European survey](#) shows almost a quarter of households have no savings at all.

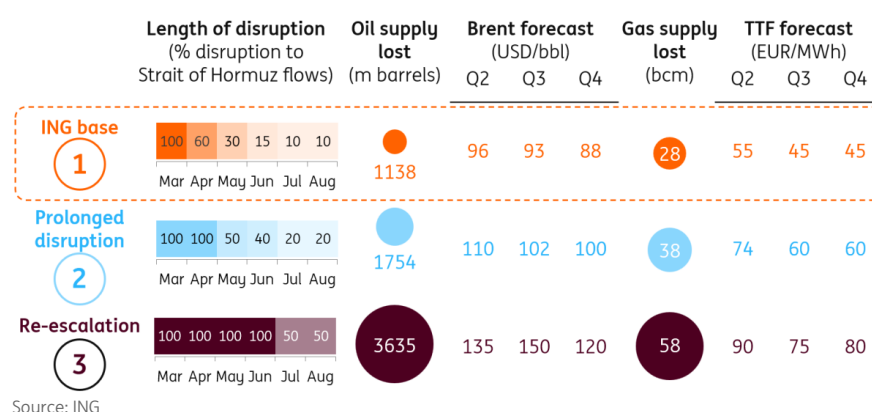
All of this matters for the central banks. If the data is right that households don't have a big wadge

of cash under the proverbial mattress – and those that do will be reluctant to spend it – then that's hardly good news for growth. And it's yet another reason to tread carefully when it comes to hiking interest rates.

James Smith

Three scenarios for energy markets

We've refreshed our three scenarios for the Iran crisis and energy markets as part of the [ING Monthly](#) published this week. Check out [this article](#) for more on what these scenarios mean for the economy and markets.



THINK Ahead in developed markets

United States (James Knightley)

- In a relatively quiet week for data, the focus will remain on US-Iran talks in the hope a deal can be reached that leads to a de-escalation and a re-opening of the Straits of Hormuz. Failure will undoubtedly hit risk assets and prompt a rebound in the dollar as markets price the prospect of higher for longer inflation, weaker growth and the Federal Reserve constrained from cutting interest rates.
- Outside of the data, the Fed has already entered its quiet period ahead of the April 29 FOMC meeting, but it will still be drawing headlines given Kevin Warsh's confirmation hearing to become Federal Reserve Chair is being held on April 21st. Once viewed as a hawk when he previously served as a Fed Governor, he has been nominated by President Trump who has demanded much lower interest rates from current incumbent, Jerome Powell. He will inevitably be questioned on how closely aligned he is with the President's thinking. We imagine he will indicate a belief that, over time, lower interest rates make sense. However, preserving market credibility is of paramount importance and there has to be justification.
- He clearly buys into the idea that tech/AI investment will boost productivity and allow the US to grow faster without generating inflation, and, to be fair, there appears to be support for this view within the broader Fed given at the March forecast update they revised higher their long-run GDP forecast to 2% from 1.8%, without altering the long-term inflation prediction. Whether he will be approved quickly is another matter, given the Department of Justice's probe into Fed construction work overspends. The Senate Banking Committee is comprised of 13 Republicans and 11 Democrats, but Republican Thom Tillis has vowed to block the confirmation until the "vindictive prosecution" of Chair Powell is ended. Until Thom

Tillis is satisfied, it will be a 12-12 vote, and it can't proceed to a formal Senate vote.

- In terms of the numbers to watch, March retail sales will be the highlight. We saw a decent increase in unit auto sales in March following weather depressed activity in the first two months of the year, but it will be the higher gasoline price that will really lift the value of sales. Given this situation, we should focus on the core “control” measure that strips out autos, gasoline, building materials and eating out. This tends to better reflect underlying spending trends and a 0.2%MoM gain would fail to keep pace with inflation. This will mean a third consecutive month of weakness in consumer demand in an environment of depressed sentiment and squeezed spending power.

United Kingdom (James Smith)

- **Jobs/wages (Tue):** Private-sector wage growth is set to continue falling as a fragile jobs market bears down on pay pressure. This is one of the key arguments against rate hikes from the Bank of England
- **Inflation (Wed):** Predictably, headline inflation is set to nudge higher as the early impacts of the Iran war shine through. Higher petrol and heating oil prices look set to lift headline CPI to 3.3%. It won't be until July when the full effects are felt via the next update in the household energy price cap.

THINK Ahead in Central and Eastern Europe

Poland (Adam Antoniak)

- **Mar industry (Mon):** We forecast that industrial activity returned to its subdued normal in March, and posted just a slight annual growth despite favourable calendar effects (one more working day). Purchasing managers report soft external demand (poor export orders) and a spike in input prices, most likely linked to the energy crisis triggered by the Middle East conflict. We are likely to see it in PPI numbers as well, and a decline in producers' prices was probably much shallower last month as prices in refining products soared.
- **Mar labour market (Mon):** Wages growth eased visibly at the beginning of 2026 amid a lower increase in the statutory minimum wage and less generous hikes in the public sector. Lack of inflationary pressure (apart from unfolding energy shock) curbs wage demand. We expect wage dynamics to converge towards levels consistent CPI at the target. (4-5%). Employment in enterprises remains in decline as some industries face mounting pressure from cheap Chinese imports, and the structure of industrial production and exports is shifting in response to the fact that Poland has become a hub for Asian imports.
- **Mar retail (Mon):** Consumer demand remains robust and is the main driver of economic growth. The mid-term trend in rising sales of durable goods remains sustained, but recent deterioration in consumer confidence, linked to elevated geopolitical uncertainty (Middle East conflict), may potentially undermine the propensity to spend over the medium term. Still, we forecast that sales in March were strong, even as purchases of petroleum products probably eased towards the end of the month as the government announced measures targeted at reducing gasoline and diesel prices from the beginning of April (maximum price, reductions in excise duty and VAT rate).

Czech Republic (David Havrlant)

- **PPI (Mon):** Producer prices reflected the surge in oil prices throughout March yet likely remained in an annual decline. Demand from European main trading partners remains lukewarm and puts pressure on margins, so that businesses maintain their price competitiveness, notably in the environment of dumping imports from China. April's business and consumer sentiment suffered from the havoc in the Middle East, nevertheless both remained relatively upbeat in levels. An increasing unemployment rate may further weigh on consumer sentiment, while the duration of the conflict will shape business mood in line with the assumed damage to the global economy.

Turkey (Muhammet Mercan)

- **Rate decision (Wed):** The CBT has reiterated in February its commitment to tightening monetary conditions in the event of a marked deterioration in the inflation outlook. In line with this stance, it suspended one week repo auctions and allowed the ON rate to rise toward the upper limit of the interest rate corridor following the escalation of the US Iran conflict. The subsequent ceasefire, however, brought temporary relief in early April. Losses in the CBT's foreign exchange reserves have come to a halt, while preliminary data point to an improvement supported by the Bank's FX swap operations with domestic banks and some reversal in capital flows.
- Against this backdrop, we expect that the CBT will leave both the policy rate and the corridor framework unchanged at the April MPC meeting. Nonetheless, ongoing geopolitical uncertainty may encourage a more cautious approach, potentially leading to an adjustment of the policy rate from 37% toward the current effective funding rate of approximately 40%.

Kazakhstan (Dmitry Dolgin)

- **Rate decision (Fri):** We expect the National Bank of Kazakhstan (NBK) to keep the base rate unchanged at its 24 April meeting. Recent trends, including a slowdown in CPI to 11.0% YoY in March and a roughly 5% appreciation of the KZT against the USD since the outbreak of the Iran war, suggest some scope for rate cuts over the medium term. For now, however, elevated uncertainty around a potential global inflation shock and higher risk premia argue for caution. In our view, holding rates steady carries a lower risk of a policy mistake than an early cut.
- We have slightly [revised up](#) our CPI outlook for the CIS 4, effectively flattening the expected path of policy easing across the region. For Kazakhstan, arguments against an immediate cut include risk of additional domestic utility tariff hikes and quasi fiscal stimulus, both highlighted in the [NBK's previous communication](#). Strong economic activity and robust bank lending dynamics also suggest there is no urgency to ease policy at this stage.

Key events in developed markets next week

Country	Time	Data/event	ING	Prev.
Monday 20 April				
Canada	1330	Mar CPI (MoM%/YoY%)	1.0/2.5	0.5/1.8
	1330	Mar Core CPI (YoY%)	2.4	0.4/2.3
Tuesday 21 April				
US	1330	Mar Retail Sales (MoM%)	1.6	0.6
UK	0700	Feb ILO Unemployment Rate	5.2	5.2
	0700	Feb Employment Change (000s)	30	84
	0700	Feb Average Weekly Earnings (3M YoY%)	3.5	3.8
	0700	Feb Average Weekly Earnings ex Bonus (3M YoY%)	3.5	3.8
Wednesday 22 April				
Eurozone	1500	Apr Consumer Confidence Flash	-	-16.3
UK	0700	Mar Core CPI (YoY%)	3.2	3.2
	0700	Mar CPI (MoM%/YoY%)	0.6/3.3	0.4/3.0
	0700	Mar Services CPI (YoY%)	4.4	4.3
Sweden	0700	Mar Unemployment Rate	-	8.8
Thursday 23 April				
US	1330	Initial Jobless Claims (000s)	210	207
	1445	Apr S&P Global Manufacturing PMI Flash	-	52.3
	1445	Apr S&P Global Services PMI Flash	-	49.8
	1445	Apr S&P Global Composite PMI Flash	-	50.3
Eurozone	0900	Apr HCOB Manufacturing PMI Flash	-	51.6
	0900	Apr HCOB Services PMI Flash	-	50.2
	0900	Apr HCOB Composite PMI Flash	-	50.7
Germany	0830	Apr HCOB Manufacturing PMI Flash	-	52.2
	0830	Apr HCOB Service PMI Flash	-	50.9
	0830	Apr HCOB Composite PMI Flash	-	51.9
France	0815	Apr HCOB Composite PMI Flash	-	48.8
UK	0930	Apr S&P Global Composite PMI Flash	50.0	50.3
	0930	Apr S&P Global Manufacturing PMI Flash	50.5	51
	0930	Apr S&P Global Services PMI Flash	50.0	50.5
Friday 24 April				
US	1500	Apr Michigan Sentiment Final	48	47.6
Germany	0900	Apr Ifo Business Climate	-	86.4
	0900	Apr Ifo Current Conditions	-	86.7
	0900	Apr Ifo Expectations	-	86
	0700	Mar Retail Sales (MoM%/YoY%)	-/-	-0.4/2.5
Canada	1330	Mar Retail Sales (MoM%)	0.8	1.1

Key events in EMEA next week

Country	Time (BST)	Data/event	ING	Prev.
Monday 20 April				
Czech Rep	0800	Mar PPI (MoM%/YoY%)	1.4/-1.1	0.1/-2.9
Tuesday 21 April				
Poland	0830	Mar Employment Growth (YoY%)	-0.8	-0.8
	0830	Mar Industrial Output (YoY%)	0.9	1.5
	0830	Mar PPI (YoY%)	-0.3	-2.3
	0830	Mar Wages (YoY%)	6	6.1
Turkey	0800	Apr Business Confidence	-	101
Wednesday 22 April				
Russia	1700	Mar Industrial Output	0.9	-0.9
	1700	Mar PPI (MoM%/YoY%)	-/-	0.5/-5.2
Turkey	1200	Apr CBT Weekly Repo Rate	37.00	37.00
	1200	Apr Overnight Lending Rate	40.00	40.00
	1200	Apr Overnight Borrowing Rate	35.50	35.50
Thursday 23 April				
Poland	0830	Mar Retail Sales (YoY%)	5.2	5
	0830	Apr Consumer Confidence	-	-12.2
	1300	Mar Money Supply (YoY%)	10.9	10.6
Friday 24 April				
Russia	1130	Apr Central Bank Key Rate	14.50	15.00
Poland	0830	Mar Unemployment Rate	6	6.1
Czech Rep	0800	Apr Consumer Confidence	105.2	110.4
	0800	Apr Business Confidence	98.8	100.4
	0800	Apr Composite Confidence	99.9	102.1
Hungary	0730	Mar Unemployment Rate	4.9	4.9
Kazakhstan	0000	Apr Interest Rate Decision	18.00	18.00

Source: Refinitiv, ING forecasts

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Carsten: What the Middle East war means for the economy right now

Higher oil prices, higher inflation, lower growth. It's a depressing snapshot of what's in store for the global economy as the war in the Middle East continues. Here's Carsten Brzeski's take on where we are right now.

Our global team gives its detailed perspective in our latest ING Monthly. [Read it here](#)



What the Middle East war means for the global economy right now

The war in the Middle East is starting to have serious consequences for economies around the world. We're not yet predicting a recession, but it's going to hammer growth and increase inflation. Carsten Brzeski says accurately predicting what's going to happen next, however, is a fool's game

[Watch video](#)

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Belgium's fiscal clean-up still has a long way to go

More than a year ago, Belgium's federal government launched a fiscal consolidation drive. The impact is real – especially over the very long term – but it still falls short. And the energy shock risks pushing public finances further off course



Reducing the public deficit and stabilising debt are major constraints weighing on the Belgian economy. Prime Minister Bart De Wever (R) has warned of a challenging decade ahead

A bleak starting point

Starting a term with a deficit above 5% of GDP is a tough inheritance for any new government. Moreover, on a no-policy-change basis, ageing would have added around 0.2 percentage points to the deficit each year, while a higher interest-rate environment is expected to add another 0.1 points annually. In other words, much of this legislature's fiscal agenda will be about stabilising – and ultimately repairing – public finances. Prime Minister Bart De Wever has been clear about the challenge, warning of a difficult decade ahead.

In recent months, the federal government has rolled out structural reforms covering pensions, the labour market and capital taxation. Most measures are now finalised, allowing a clearer estimate of their budgetary impact in both the short and the long run. A series of publications from the National Bank of Belgium, the Federal Planning Bureau and the Public Finance Monitoring

Committee has also sharpened the picture of where public finances are headed.

The good news

The latest reports contain at least one encouraging message. The National Bank of Belgium's annual report estimates that the measures adopted will deliver net savings of around 1.1ppt of GDP by 2028. Excluding additional defence spending, savings could reach 1.6ppt. On top of that, tax revenues are expected to rise by about 0.3ppt of GDP.

On the spending side, most savings come from social benefits – particularly pensions and unemployment. On the revenue side, indirect taxes (VAT and excise duties) and wealth taxation contribute positively, although much of that gain is offset by planned cuts to taxes on earned income.

The Federal Planning Bureau also provides a detailed estimate of how pension reform affects the cost of ageing (the rise in age-related public spending). Over the long term (2024–2070), it estimates the cost of ageing would fall by 1.3 percentage points of GDP – around one-third lower than pre-reform assessments. The improvement reflects both lower spending (via changes to pension calculation) and higher GDP, as reforms lift labour supply and the number of people in work.

Taken together, these assessments suggest Belgium has, unlike some peers, implemented reforms that meaningfully improve the longer-term fiscal trajectory, even if only partially.

The bad news

But all of the analyses point to the same conclusion: the package, as it stands, is not enough to put public finances on a sustainable footing in the medium term. Under unchanged policy assumptions, the deficit worsens again from 2027 and could reach 6.2% of GDP by 2030. The Public Finance Monitoring Committee – bringing together senior officials from the Finance Ministry and Social Security, as well as representatives from the Inspectorate of Finance and the Planning Bureau – also foresees a renewed deterioration from 2029, with the deficit close to 6% of GDP by 2030.

The National Bank of Belgium estimates that a deficit of around 3% of GDP would be needed to stabilise the debt ratio. Belgium remains far from that threshold in the years ahead, not only because the primary balance is projected to settle around -2% of GDP by 2030, but also because interest costs will rise. That reflects both higher debt levels and a structurally higher interest-rate environment than in the past.

It is also worth noting that many projections assume annual growth of around 1.1%. The renewed conflict in the Middle East makes that assumption less credible in the near term. Growth is likely to come in below 1% this year (ING projection: 0.7%), which would further weaken the budget balance. Meanwhile, the rise in long-term rates since the escalation of the conflict is likely to increase debt-servicing costs, at least temporarily.

What does this mean?

One caveat is that institutional projections (National Bank of Belgium, Planning Bureau) only include measures that have been formally decided and sufficiently documented. Our baseline

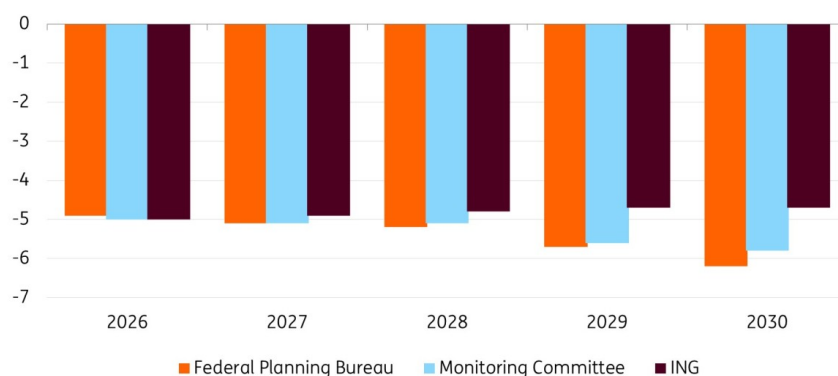
assumes additional steps later in the legislature, which would make the fiscal trajectory less bleak than the unchanged policy scenarios suggest.

However, the room for manoeuvring looks limited. Social tensions remain elevated (with repeated strikes and national days of action), and political frictions within the majority add another constraint. We therefore expect any additional measures to focus on offsetting weaker growth and keeping the deficit below 5% of GDP – likely enough to meet European Commission requirements (we mustn't forget that Belgium is still in an excessive deficit procedure). Even so, this would not stabilise the debt path, which remains a key consideration for sovereign ratings.

Moody's will update Belgium's sovereign rating today, with S&P scheduled to follow a week later. It is not clear that the good news will outweigh the bad, and the risk of a downgrade remains meaningful. Still, Moody's recent decision not to downgrade France despite budget challenges at least as severe as Belgium's argues for a status quo for now.

Comparison of public deficit projections (2026-2030)

(% of GDP)



Source: Federal Planning Bureau, Monitoring Committee, ING

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Three scenarios for energy, central banks, rates and FX markets

How a prolonged disruption to Middle East energy flows could affect inflation, interest rates and currencies



With the world in flux, certainty is a rare commodity

Three scenarios for energy prices

	Length of disruption (% disruption to Strait of Hormuz flows)	Oil supply lost (m barrels)	Brent forecast (USD/bbl)			Gas supply lost (bcm)	TTF forecast (EUR/MWh)		
			Q2	Q3	Q4		Q2	Q3	Q4
ING base 1	100 60 30 15 10 10 Mar Apr May Jun Jul Aug	1138	96	93	88	28	55	45	45
Prolonged disruption 2	100 100 50 40 20 20 Mar Apr May Jun Jul Aug	1754	110	102	100	38	74	60	60
Re-escalation 3	100 100 100 100 50 50 Mar Apr May Jun Jul Aug	3635	135	150	120	58	90	75	80

Source: ING

Energy markets

Financial markets are taking a glass-half-full view on the Middle East crisis amid the ongoing ceasefire and reports of another round of negotiations between the US and Iran. But there are still plenty of ways this situation could play out.

In our refreshed base case, we're assuming that talks drag on, prompting renewed US pressure.

The American blockade of the Strait of Hormuz is a good example of this. But despite ongoing disruption, a deal is ultimately reached that enables more traffic to flow through the Strait as we head into summer. Our new forecasts are based on energy flows returning to 70% of normal through May and 90% by July. Remember that damage to energy infrastructure will hamper efforts to return fully to normal.

This scenario would see Brent Crude trading between US\$90-100/bbl in the second and third quarters. TTF natural gas averages 55 EUR/MWh in the second quarter.

Alternatively, a scenario where prolonged disruption means flows return to only 60% of normal by the end of June, takes oil prices back above US\$100/bbl and keeps them there for the remainder of 2026. Natural gas prices show further upside, too.

A more extreme situation, where talks collapse and a sustained military escalation ensues, keeps the Strait of Hormuz closed until the end of June, with only a steady recovery thereafter. Oil prices go as high as US\$150/bbl in the third quarter.

Central banks

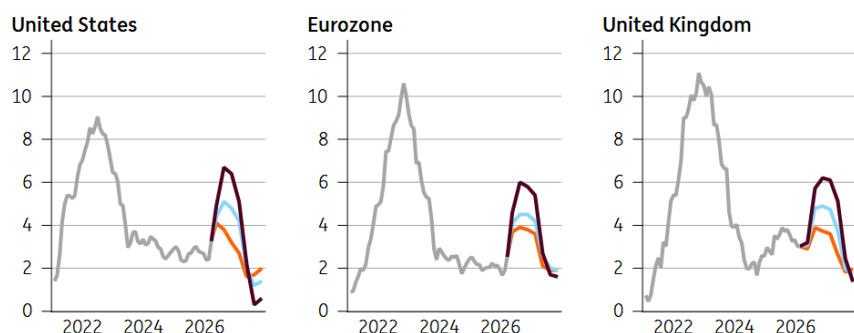
Our new base case sees the European Central Bank hiking rates in June, though for now we think that's a one-off. While the threat of second-round effects on inflation is considerably less than in 2022, we think headline inflation at 4%, core inflation rising towards 3% and the optics of survey-based inflation expectations metrics surging, will tempt Frankfurt into some very limited tightening. The fact that we're assuming a material improvement in flows through the Strait of Hormuz by the time of the June meeting should prevent that from turning into a more aggressive tightening cycle.

That changes if the disruption lasts longer and prices spike higher. The supply chain impact will become more unpredictable and widespread. And as the central banks have highlighted, the secondary impact on inflation risks snowballing. Our most extreme scenario sees US, eurozone and UK inflation peaking at or above 6% this year. If that happens, we'd expect multiple ECB hikes, though we also think it would be swiftly reversed through 2027 as the inflation threat recedes.

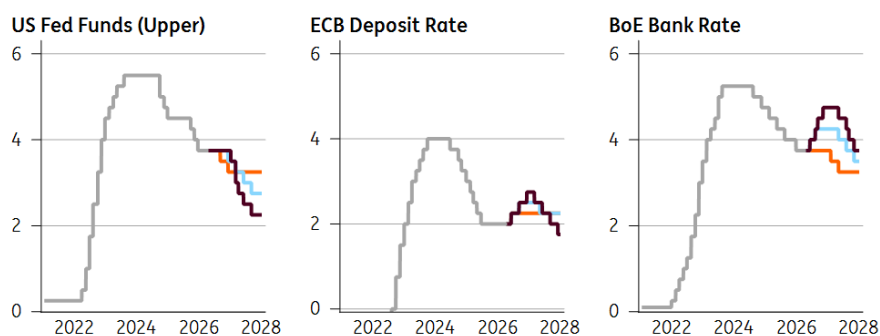
In contrast, we don't expect rate hikes from the Fed in any of our scenarios, although an interest rate hike can't be ruled out if energy prices rise above our base case. This is a far narrower supply shock for the US than 2021/22 and there isn't the same demand impetus. Over the medium term, we think higher transport fuel prices are more likely to weaken growth and employment rather than lead to persistently higher inflation. So while our more adverse scenarios delay the timing of the next cut as the Fed weighs up the risk of second-round effects, ultimately we think the higher energy prices go, the deeper the rate cut cycle that eventually follows. As Middle East tensions subside and energy prices drop, we expect officials to increasingly focus on the jobs aspect of its dual mandate.

Three scenarios for central banks and inflation

Inflation (YoY%)



Central banks



Source: Macrobond, ING

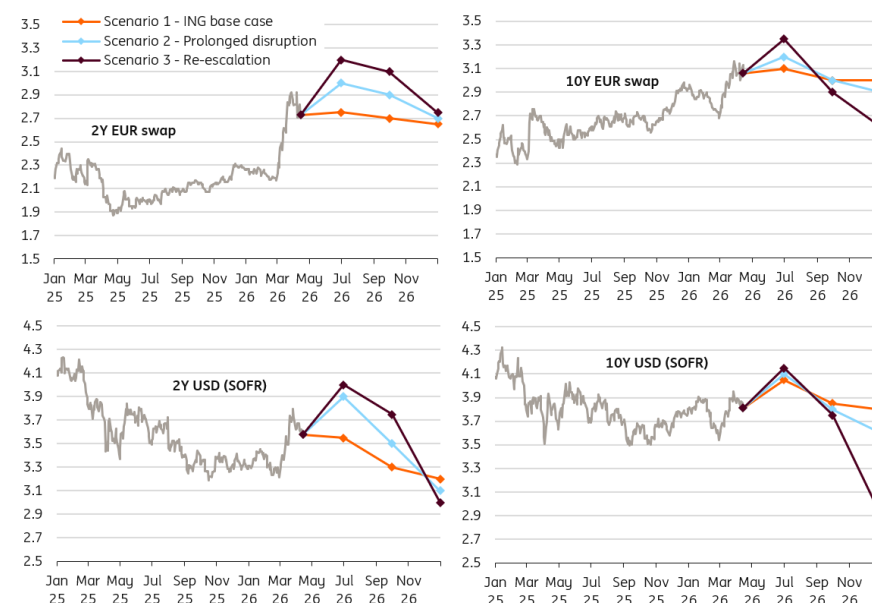
EUR and USD rates: Higher rates will struggle to hold over the medium-term

Euro rate markets are still positioned for more than two ECB hikes and seem willing to price in more if oil prices were to rise again. In the near term, that means markets could even get pushed towards four hikes, implying a 2Y swap rate moving well above 3%. For the higher oil price scenarios, we do, however, anticipate a sharp dovish shift as growth concerns start mounting towards the end of the year. That means markets would already start eyeing ECB cuts in 2027, pulling the 2Y rate even below current levels.

For 10Y euro rates, the initial reaction to higher oil prices will still be bearish, but the scope to go higher should be limited. Growth concerns on the back of tighter monetary policy and higher energy costs should start weighing on market sentiment. In effect, this starts pushing down longer-dated rates, also explaining the 2s10s curve inversion towards the end of 2026 in the worst outcome.

The outlook is similar for US rates, with the 2Y swap reaching 4% in the highest oil scenario. Also, 10Y rates can move materially higher in the near term, even in our baseline scenario, especially since market sentiment remains resilient. With inflation numbers coming in hot throughout 2026, that upward pressure on rates should hold. When markets turn more pessimistic on the growth outlook, however, the focus should shift from inflation to recession risks. In effect, this pushes down real rates, bringing 2Y and 10Y to levels below where we stand today.

Three scenarios for swap rates



Source: Macrobond, ING

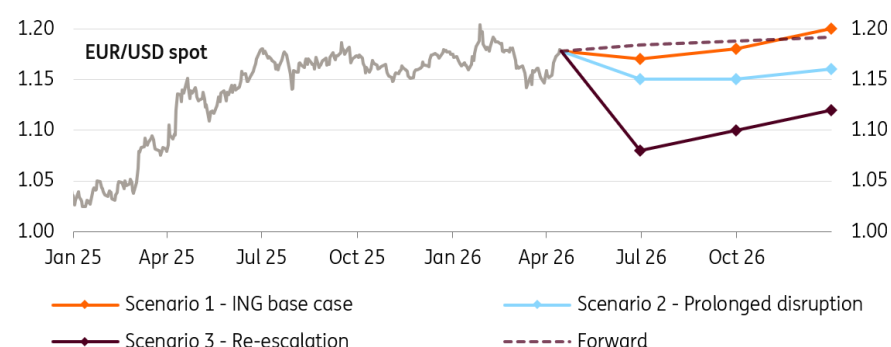
EUR/USD: Our baseline remains modestly bullish

Our baseline EUR/USD call for 3Q (1.18) and 4Q (1.20) remains unchanged from last month. While we now embed one ECB hike into our forecast, market pricing remains more hawkish (55bp) and we have revised our oil forecast higher. The backbone of our bearish USD view into year end remains our expectation of two Fed cuts, which should reopen USD hedging channels by easing front end rates.

If anything, risks sit on the upside relative to our 1.20 year end target, as the ECB might end up delivering two hikes after all and political uncertainty building into the November midterms could trigger more US specific dollar weakness. And if Republicans lose both houses of Congress, limits on Trump's ability to pursue new fiscal stimulus could reinforce structurally bearish views on the dollar.

In the shorter run, we see risks mildly tilted on the downside for EUR/USD, and we target 1.170 for the end of the second quarter. Markets have already leaned aggressively into the de escalation trade, while ECB expectations still look too hawkish. We expect no change at the 30 April meeting, followed by scope for dovish repricing.

Three scenarios for EUR/USD



Source: Refinitiv, ING

Return below 1.10 in EUR/USD in severe scenario

In our second scenario, we estimate that a moderate re escalation and longer oil supply disruptions will push EUR/USD back toward 1.15 for much of the remainder of the year. That level served as a key anchor in March, and under this scenario we would expect two ECB hikes and one Fed cut, broadly in line with current market pricing.

In the most severe scenario, the sensitivity of USD crosses to oil prices should rise sharply, relegating rate differentials to a secondary role. Average Brent prices in the US\$135-150/bbl range would, in our view, be consistent with a move back below 1.10 in EUR/USD. That assumes an accompanying sharp deterioration in global risk sentiment, in a stagflationary environment where the Fed decides not to cut rates.

In numbers: Our three scenarios

	① Base case			② Prolonged disruption			③ Re-escalation		
	Q2	Q3	Q4	Q2	Q3	Q4	Q2	Q3	Q4
Brent Crude (USD/bbl)	96	93	88	110	102	100	135	150	120
Dutch TTF gas (EUR/MWh)	55	45	45	74	60	60	90	75	80
US Inflation (YoY%)	4.1	3.8	3.2	4.4	5.1	4.8	4.9	6.7	6.4
Eurozone Inflation (YoY%)	3.7	3.9	3.8	4.1	4.5	4.5	4.6	6.0	5.8
ECB Deposit Rate (%)	2.25	2.25	2.25	2.25	2.50	2.50	2.25	2.50	2.75
Fed Funds Rate (%)	3.75	3.50	3.25	3.75	3.75	3.50	3.75	3.75	3.75
2Y EUR swap rate (%)	2.75	2.70	2.65	3.00	2.90	2.70	3.20	3.10	2.75
10Y EUR swap rate (%)	3.10	3.00	3.00	3.20	3.00	2.90	3.35	2.90	2.60
2Y USD swap rate (%)	3.55	3.30	3.20	3.90	3.50	3.10	4.00	3.75	3.00
10Y USD swap rate (%)	4.05	3.85	3.80	4.10	3.80	3.60	4.15	3.75	2.90
EUR/USD	1.17	1.18	1.20	1.15	1.15	1.16	1.08	1.10	1.12

Source: ING

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'Team Transitory' holds for now in the States

US inflation is rising, but without the scale of the 2021-22 supply shock or the demand impetus that drove persistent inflation then. If tensions ease and oil prices fall in the second half of 2026, rate cuts remain more likely than hikes



Fed Chair, Jay Powell, at last month's press conference

Inflation expectations remain tolerable

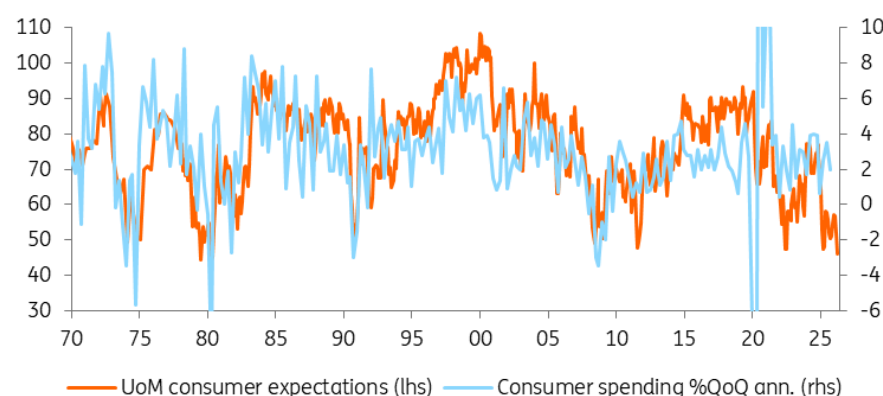
The Federal Reserve can't do anything to ease the energy supply shock. Instead, its role is to ensure that inflation expectations remain contained and, for now, that seems to be the case. Long-term consumer inflation expectations are tolerable, being a full percentage point below the 4.4% figure hit in the wake of the 'Liberation Day' tariffs 12 months ago. Meanwhile, break-even inflation rates on Treasury Inflation-Protected Securities have not shifted to a worrying degree – the 2Y implied rate is at 2.9%, 5Y at 2.7% and 10Y at 2.4%. In January, the averages were 2.5%, 2.4% and 2.3% respectively. As such, the central bank, households, and financial markets appear to believe that inflation is likely to be transitory.

While we expect US headline inflation to soon breach 4% on higher motor fuel and airline fare costs, we certainly don't think we are in for a repeat of 2022, when inflation got within touching distance of 10%, and the Fed had to hike the policy rate by 525bp. That is primarily because the

supply shock is not as broad as the pandemic-related supply chain stresses in 2022, focused on motor and aviation fuel. At the same time, we don't have the same sort of demand impetus that would risk a broader, more persistent inflation story.

US companies have not been able to pass on the \$25bn per month cost of tariffs to consumers in a meaningful way, with core goods consumer prices rising little more than 1% year-on-year. This gives us reason to doubt they will be able to pass on higher energy and distribution costs outside of airline fares. Furthermore, US natural gas prices have been falling, suggesting that developments in the Middle East will be less impactful on US utility costs than in Asia and Europe.

Sentiment slump points to softer spending growth



Source: Macrobond, ING

High energy costs likely to be demand destructive

In terms of activity, the differences with 2022 are even starker. The economy added 4.5 million jobs in 2022, wage growth averaged nearly 6%, savings had been built up during the pandemic, we had stimulus checks and significant pent-up demand as people sought a return to their pre-Covid lifestyles. Today, the jobs market has stalled, wage growth is closer to 3%, confidence is at record lows, savings have been depleted, and real household disposable income is flat-lining. Even the tax refund story, which we had hoped would provide a near-term boost to spending power, is looking less supportive than predicted. After disappointing January and February consumer spending data, surging energy costs will eat into household spending power and risk being demand destructive, hence our downward revision to 2026 GDP growth to 2.2% from 2.5%.

It isn't all bad news. Net trade is making a positive contribution to growth while pipeline indicators for business investment remain strong, especially for tech-related business capital expenditure. Government spending should also provide a significant boost to first-quarter GDP growth after the October shutdown weighed heavily on fourth-quarter 2025 economic activity.

Dual mandate suggests rate cuts remain on the cards for late 2026

In terms of what this means for our call on Federal Reserve policy, we continue to believe interest rate cuts are more likely than hikes. With weaker consumer spending growth, core (excluding food and energy) price inflation is expected to be further dampened. In this regard, we need to remember the importance of shelter costs within the US inflation basket (35.5% weighting for

headline and 44% for core), which we expect to moderate further.

The Federal Reserve's dual mandate of price stability and maximising employment is a key distinguishing feature of the US. Having failed to create jobs in meaningful numbers over the past 18 months, when growth was strong, the risk is that we see weaker US jobs figures on the back of geopolitical, financial-market and economic angst. Remember, too, that the Fed still views the current stance of monetary policy as being very modestly restrictive. With a new Fed governor taking office and key elections this year, the political pressure for action will intensify.

As such, if we do see Middle East tensions ease and oil prices drop back in the second half of this year, there is a strong chance of sub-2% inflation being achieved in 2027. So, while the Fed is likely to sound relatively hawkish in the near term, we continue to see scope for two 25bp rate cuts towards the end of the year.

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Energy market outlook hinges on the Middle East

The key factor for energy markets remains developments in the Middle East. The only way energy prices move lower is the resumption of flows through the Strait of Hormuz. In the absence of this, prices will only move higher



Dated Brent crude oil prices hit \$144.46 a barrel recently, an all-time high

Oil futures don't fully reflect the scale of supply disruptions

Oil flows through the Strait of Hormuz remain largely cut off, which continues to tighten the oil market. However, despite this significant tightening, the futures market appears to be responding more to headlines over how the war may evolve, with hopes that we could see a resolution in the coming weeks. However, we just need to look at the physical market to get a better idea of the reality of the supply disruption. Dated Brent has traded as high as \$144/bbl recently and is trading at around a \$30/bbl premium to Brent futures. Clearly, the longer supply disruptions persist, the more likely we will see futures needing to catch up with the physical market.

We estimate that around 13m b/d of oil flows from the Persian Gulf are being disrupted due to the Strait of Hormuz blockade. This is after taking into account pipeline diversions, Iranian tankers still moving through the Strait (although this could change with the recent US blockade), as well as some other tankers transiting this key chokepoint. While releases of government stocks and the

drawing down of floating storage have helped the market, the shortfall is still significant. Therefore, there is a need for demand destruction. We are already seeing signs of this, particularly in parts of Asia, with several governments in the region announcing measures to reduce energy consumption. Clearly, the longer this persists, the more demand destruction we will need to see, and this will have to occur across other regions as well. To drive further demand destruction, we will need to see higher oil prices.

For now, our base case is that energy flows will start to make a gradual recovery through the second quarter. However, flows will remain below pre-war levels until at least year-end. This would see Brent averaging \$96/bbl over 2Q26 and \$89/bbl over the full year 2026. A more extreme scenario would be where Persian Gulf flows remain mostly cut off, while escalation sees extensive infrastructure damage, and risks to Red Sea oil flows also grow, which could see Brent trading over \$150/bbl.

The LNG market continues to tighten

The global LNG market also continues to tighten with developments in the Persian Gulf, and the market is set to see supply disruptions persist for longer, even if we were to get a quick resumption of vessel movements through the Strait of Hormuz. Firstly, restarting Qatari LNG capacity will take some time, while 17% of Qatari LNG capacity will also be offline for the foreseeable future after an Iranian attack. As a result, we are seeing the Asian and European gas market increasingly pricing in a tighter market until 2027. A delay in the start of new Qatari capacity only adds to a tighter-than-expected outlook.

There is little in the way of supply alternatives for the market to offset the sizeable volumes we are seeing disrupted from the Persian Gulf. The ramp-up of new US LNG capacity is simply not enough. Therefore, demand destruction will be key to balancing the gas market. This will likely be evident in the power sector, where we expect the industry to lean more on coal, particularly in Asia. But even in Europe, it makes more sense to burn coal rather than gas, even when taking into consideration carbon prices.

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